

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$207.46 ▼ 0.53%	12M Price Target \$245.00	52-Week Range \$61.44 – \$329.88	Market Cap \$186.20B
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MRVL: AI Custom Silicon Winner Cooling After Big Run

WHAT HAPPENED

- MRVL drifted down about 0.5% on notably light volume (2.7M vs 20M+ recent days) — this looks like a normal breather after last week's pop to \$218, not real selling. Low volume = big money isn't dumping, retail is just quiet.
- The narrative shift matters more than the price: headlines are pivoting to Broadcom (AVGO) as the "custom AI chip winner," which is stealing some mindshare from MRVL right when scrutiny is hitting Nvidia's AI spending. MRVL is caught in the middle of that rotation.

WHY IT MATTERS

Here's the real story: the market is trying to figure out who wins the "custom silicon" race — the chips hyperscalers (Amazon, Google, Meta) design themselves instead of buying from Nvidia. MRVL and Broadcom are the two big beneficiaries, and right now Broadcom is getting the love. That's a short-term headwind but not a thesis-killer, because MRVL's Amazon Trainium and Google Axion partnerships are locked in for years. The bearish options flow (someone bought \$1.4M in near-term puts) suggests traders expect more chop into earnings, but institutional ownership at 94% tells you the smart long-money isn't going anywhere.

POLICY & POLITICAL WATCH

The big political tailwind is the CHIPS Act 2.0 discussion in Congress — an expansion of the original \$52B semiconductor subsidy program that specifically favors US-headquartered chip designers like MRVL. Meanwhile, the Trump administration's tightened export controls on advanced chips to China are actually a double-edged sword: they protect MRVL's IP advantage but also cap the addressable market (China was ~40% of MRVL's revenue historically). Watch for the September Commerce Department review on AI chip export licenses — if they loosen slightly for "non-frontier" chips, MRVL's networking and storage silicon could see a China revenue bounce.

IS IT EXPENSIVE?

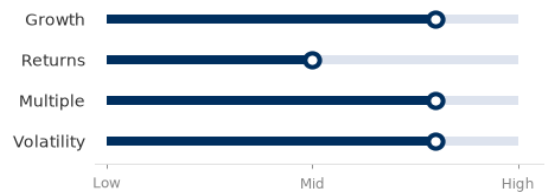
At \$207 and ~\$186B market cap, investors are paying roughly 73x next year's earnings — meaning you're paying \$73 today for every \$1 the company is expected to earn next year. That's expensive by any normal standard, but AVGO trades similar and NVDA trades even richer, so MRVL is actually the "cheaper" AI chip play. The valuation is defensible ONLY if custom AI silicon revenue keeps growing 60%+ annually — if that decelerates to 30%, this stock has 25% downside quickly.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$207.46
12M Price Target	\$245.00
Upside / (Downside)	+18.1%
Market Cap	\$186.20B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,500M
FY2026E EPS	\$2.85
FY2027E EPS	\$4.10
Fwd P/E	72.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$230.00	\$210.00	\$185.00
6 Months	\$275.00	\$235.00	\$170.00
1 Year	\$320.00	\$245.00	\$160.00
2 Years	\$400.00	\$290.00	\$150.00
5 Years	\$550.00	\$380.00	\$140.00
10 Years	\$800.00	\$500.00	\$130.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+1%) and Materials (+0.6%) — money is rotating toward "real economy" names as investors get nervous about AI concentration. Healthcare is quietly ripping (+4.5% over 5 days) on policy optimism.

COOLING OFF: Technology is barely positive (+0.15%) and flat over 5 days — the AI trade is taking a breather as scrutiny on Nvidia's investments (per the Barron's headline) makes investors question the whole ecosystem's spending.

ROTATION WATCH: Money is quietly moving OUT of mega-cap tech and INTO cyclicals and healthcare. That's a warning sign for MRVL near-term — when tech leadership narrows, second-tier AI names (which MRVL is, vs. Nvidia) get sold first.

RELATED PLAY: If custom silicon keeps winning, the "picks and shovels" play is TSM (Taiwan Semi) — they actually manufacture MRVL's chips. Also worth watching: data center REITs like EQIX benefit from every AI chip that gets deployed.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning the narrative war right now as "the" custom AI chip play — analysts are loading up because their Google TPU relationship is bigger than MRVL's programs.
- TSM (Taiwan Semi): Manufactures for everyone, so it wins regardless of whether AVGO or MRVL takes more custom silicon share.

MRVL CONTEXT: MRVL is lagging AVGO in the current news cycle but still up massively YTD (52-week range shows it more than tripled from \$61 low). That means the easy money has been made — from here, MRVL needs to prove itself with numbers, not just narrative. Being at 54% of its 52-week range is actually a healthy setup — not overbought, not broken.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but I'm not pounding the table because the AI narrative is entering a "show me" phase where numbers matter more than hype.

POSITION SIZE: 3-5% of portfolio — real upside but real volatility (stock has an 8/10 vol score for a reason, it's had a \$60-\$330 range in a year).

ENTRY POINTS: Add on pullbacks to \$195-205; if we get a broader tech selloff to \$180, back up the truck. Don't chase above \$220 before earnings.

TIME HORIZON: 12-24 months. Near-term catalyst is the early-September earnings report; longer-term is CHIPS Act 2.0 progress and the 2027 hyperscaler capex guidance cycle.

WHEN TO BAIL: If revenue growth guidance drops below 40% year-over-year, or if any hyperscaler signals they're bringing custom silicon fully in-house, I'm out.

HEDGING: Buy a small amount of downside protection (put options) around earnings, or simply pair this with a smaller short in Nvidia or Broadcom so you're betting on MRVL specifically outperforming, not just "AI going up."